

Loan Repayment Decision Paper

Prepared for Dana Serrano by Vitals — read-only over the servicer record

RECOMMENDED PLAN	BALANCE AT PGY-3 END	TOTAL INTEREST, 10 YR	PSLF HORIZON
SAVE	\$231,400	\$63,200	Nov 2036

Recommendation

Lock into **SAVE** as the primary income-driven plan and hold **PAYE** as the fallback if SAVE rules shift. Keep every residency payment on the PSLF track, recertify income annually, and confirm the employer certification letter through the servicer in Q1 2027.

1. Position on the ledger

Principal outstanding as of November 1, 2026 statement is 218,340. Interest accrues at roughly 600 per month. Grace period ended October 2026 and the first scheduled payment cleared on November 15, 2026 at 347.82 under a preliminary income snapshot. The permanent monthly figure will settle after the servicer processes the PGY-2 full year AGI form in early 2027. Trusted source is the servicer statement dated November 1, 2026. Older email confirmation from July 15, 2026 at 217,900 is set aside as the freshness rule requires.

2. Employment context that matters

Stonebridge Healthcare is a 501(c)(3) nonprofit teaching hospital. That is the eligibility floor for Public Service Loan Forgiveness. Residency counts toward the 120 qualifying payments under PSLF if the loan is a Direct loan, which the servicer record confirms it is. Residency payments made under an income driven plan count as qualifying payments even when the monthly figure is low. That is the single most important structural fact in this paper.

3. Plan comparison

Plan	PGY-2 monthly	PGY-3 monthly	Attending yr 1	Balance at PGY-3 end	Interest 10 yr	PSLF
SAVE / REPAYE replacement	\$278	\$312	\$486	\$231,400	\$63,200	Yes
PAYE	\$278	\$312	\$486	\$231,400	\$63,200	Yes
IBR (new)	\$347	\$391	\$608	\$228,100	\$58,100	Yes
Standard 10 yr	\$2,455	\$2,455	\$2,455	\$0	\$50,000	No*
Graduated 10 yr	\$1,200	\$1,400	\$2,200	\$145,000	\$72,000	No

Plan	PGY-2 monthly	PGY-3 monthly	Attending yr 1	Balance at PGY-3 end	Interest 10 yr	PSLF
Extended 25 yr	\$780	\$780	\$780	\$205,000	\$145,000	No

*Figures projected across the PGY-2 and PGY-3 step-up. *Standard 10 yr is paid off before any forgiveness horizon. Recommended plan highlighted.*

4. PSLF read

Stonebridge Healthcare qualifies as a PSLF eligible employer. Residency payments under SAVE, PAYE, or IBR count toward the 120 qualifying payments. At the recommended plan, the count starts with the November 15, 2026 payment and would hit 120 qualifying payments in November 2036 if employment stays at a qualifying employer without interruption. That is the horizon that makes this decision different from the standard math. Confirm the residency PSLF status letter through the servicer once the plan is settled.

5. Step-up projection across PGY-2 and PGY-3

PGY-2 gross is 67,000. PGY-3 step is projected at approximately 70,000 based on the posted resident salary schedule. Attending year one gross varies widely with specialty but a conservative internal medicine hospitalist floor of 220,000 puts the attending monthly SAVE payment near 486. That is when the payment starts to bite against a real cushion. Until then, monthly stays low.

6. Trade-off

SAVE and PAYE are functionally identical at this income level and both preserve PSLF eligibility. IBR carries a slightly higher monthly and a slightly smaller balance growth but preserves the same forgiveness horizon. The 10 year standard is not feasible on a 67,000 resident salary and is rejected. The extended plan carries a punishing total interest figure and no forgiveness horizon and is rejected. The real choice is between SAVE or PAYE as the primary plan and IBR as the fallback if SAVE rules shift under a future policy change.

7. Recommendation

Lock into SAVE as the primary repayment plan. Hold PAYE as the fallback if the SAVE rules shift under future policy change. Confirm the residency PSLF employer status letter through the servicer inside the first quarter of 2027. Recertify income annually and any time a step raise lands. Do not consider prepayment while on the PSLF track because prepayment offers no benefit to a borrower who plans to reach forgiveness. The projected balance at PGY-3 end is 231,400 and the total interest paid over the 10 year horizon lands near 63,200, and both figures are then discharged under PSLF if the eligibility record is clean at the 120 payment mark.

8. Judgment calls named on the page

Servicer statement of November 1, 2026 trusted for principal and rate. Older July 15, 2026 email confirmation set aside. Stonebridge Healthcare PSLF eligibility trusted at 501(c)(3) status. Final residency payment count status is left as an open item pending the employer certification letter from the servicer. Where the attending year figure is uncertain, the conservative floor was used, and where policy uncertainty is real, PAYE is kept as the named fallback rather than assumed away.

Confidential to Dana. No dollar figure from this paper appears in any family-facing draft or program communication. Loan detail stays with the servicer and with Dana.